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Case Number: 20STCV09790 Hearing Date: August 24, 2026 Dept: 224

Nueva Esperanza Healthcare Medical Clinic, Inc. v. Community Family Care Medical Group, Inc.

FINAL RULING

The Petition to Vacate the Arbitration Award is DENIED. The Request for Sanctions is DENIED.

Respondent is ordered to submit a Proposed Judgment.

ANALYSIS

Introduction

On March 10, 2020, Plaintiff filed the Complaint in this action.

On February 24, 2022, the Court issued an order compelling the parties to arbitration.

On February 18-20, 2025, and March 5, 2025, the Arbitrator, Hon. Ann Kough (Ret.), conducted the arbitration hearing.

On July 7, 2025, the Arbitrator issued the Final Award in favor of Respondents, and the Award was served on Petitioner the same day.

On October 15, 2025, Petitioner filed and served the Petition to Vacate the Arbitration Award, and noticed it to be heard by the Honorable Lia Martin for the first available hearing date, June 16, 2026.

On March 2, 2026, this matter was reassigned to the Honorable Cindy Pánuco.

On May 14, 2026, Respondents filed their Opposition to the Petition.

On June 9, 2026, Petitioner filed its Reply.

On June 16, 2026, the Court heard oral arguments, and continued the hearing for supplemental briefing.

The parties filed their first round of Supplemental Briefing and on August 14, 2026, the Court heard oral arguments. After hearing oral arguments, the Court ordered a second round of supplemental briefing and continued the hearing to August 24, 2026.

The parties submitted their Second Supplemental briefs and the Court heard arguments on August 24, 2026.

Legal Standard

California's law and public policy favors arbitration as "a speedy and relatively inexpensive means of dispute resolution." (Moncharsh v. Heily & Blase (1992) 3 Cal.4th 1, 9 (Moncharsh), internal quotations omitted.) By enacting the California Arbitration Act (CAA), which is codified in the Code of Civil Procedure (Code Civ. Proc., §§ 1280-1294.2), the Legislature expressed "its strong support for private arbitration and the finality of arbitral awards in [the CAA]." (Moncharsh, supra, 3 Cal.4th at p. 32.) "To support this policy and encourage parties to settle their disputes through arbitration, it is essential that arbitration judgments be both binding and final. Thus, as a general rule, courts will indulge every reasonable intendment to give effect to arbitration proceedings." (A.M. Classic Const., Inc. v. Tri-Build Development Co. (1999) 70 Cal.App.4th 1470, 1477-1478.)

"Any party to an arbitration in which an award has been made may petition the court to confirm, correct or vacate the award." (Code Civ. Proc., §1285.) The petition must "(a) [s]et forth the substance of or have attached a copy of the agreement to arbitrate unless the petitioner denies the existence of such an agreement. (b) Set forth the names of the arbitrators. [and] (c) Set forth or have attached a copy of the award and the written opinion of the arbitrators, if any." (Code Civ. Proc., § 1285.4.) The petition must also "name as respondents all parties to the arbitration and may name as respondents any other persons bound by the arbitration award." (Code Civ. Proc., § 1285.) A petition to confirm an award must be served and filed within four years after the date the petitioner was served with a signed copy of the award. (Code Civ. Proc., § 1288.)

"A response to a petition under this chapter may request the court to dismiss the petition or to confirm, correct or vacate the award." (Code Civ. Proc., § 1285.2.)

If a petition or response to an arbitration award is duly served and filed, the court shall confirm the award as made, unless the court corrects the award and confirms it as corrected, vacates the award, or dismisses the proceeding. (Code Civ. Proc., § 1286.) Moreover, a court may not vacate or correct an award unless a petition or response requesting that the award be vacated or corrected has been filed. (Code Civ. Proc. §§ 1286.4, 1286.8.) "A petition to vacate an award or to correct an award shall be served and filed not later than 100 days after the date of the service of a signed copy of the award on the petitioner." (Code Civ. Proc., § 1288.)

The court may vacate an arbitration award only on the grounds set forth in Code of Civil Procedure section 1286.2. (Moncharsh, supra, 3 Cal.4th at pp. 12-13.) Section 1286.2 provides that the court shall vacate the award if it determines any of the following:

- (1) The award was procured by corruption, fraud or other undue means.
- (2) There was corruption in any of the arbitrators.
- (3) The rights of the party were substantially prejudiced by misconduct of a neutral arbitrator.

(4) The arbitrators exceeded their powers and the award cannot be corrected without affecting the merits of the decision upon the controversy submitted.

(5) The rights of the party were substantially prejudiced by the refusal of the arbitrators to postpone the hearing upon sufficient cause being shown therefor or by the refusal of the arbitrators to hear evidence material to the controversy or by other conduct of the arbitrators contrary to the provisions of this title.

(6) An arbitrator making the award either: (A) failed to disclose within the time required for disclosure a ground for disqualification of which the arbitrator was then aware; or (B) was subject to disqualification upon grounds specified in Section 1281.91 but failed upon receipt of timely demand to disqualify himself or herself as required by that provision. However, this subdivision does not apply to arbitration proceedings conducted under a collective bargaining agreement between employers and employees or between their respective representatives.

"The scope of judicial review of arbitration awards is extremely narrow. Courts may not review the merits of the controversy, the sufficiency of the evidence supporting the award, or the validity of the arbitrator's reasoning..... Indeed, with limited exceptions, 'an arbitrator's decision is not generally reviewable for errors of fact or law, whether or not such error appears on the face of the award and causes substantial injustice to the parties.'" (Dept. of Personnel Administration v. California Correctional Peace Officers Ass'n (2007) 152 Cal.App.4th 1193, 1200.) (Accord California School Employees Assn. v. Bonita Unif. School Dist. (2008) 163 Cal.App.4th 387, 406-07.)

Discussion

Petitioner Nueva Esperanza Healthcare Medical Clinic, Inc. brought claims against Respondents for breach of contract, breach of the implied covenant of good faith and fair dealing, fraud, violation of Business and Professions Code section 17200, intentional and negligent interference with prospective economic advantage, and related theories arising from the parties' managed care provider relationship. The parties arbitrated the claims before Hon. Ann Kough (Ret.) of JAMS, who issued a Final Award on July 7, 2025 providing that Claimant shall take nothing from Respondents. (Petition, Attachment 8(c).) Petitioner now moves to vacate the award.

At the conclusion of the arbitration hearing, the Arbitrator issued an order dated March 5, 2025, ordering "Counsel will meet and confer and get me all of the exhibits (including full copies of deposition transcripts)." (Ex. H to Declaration of Michael Amir in Support of Petition to Vacate Arbitration Award ("Amir Decl.")). The Arbitrator set deadlines for opening (May 5), response (June 9), and reply (June 16) briefs, explaining that, "[t]he briefs are not to include exhibits; reference to specific exhibits it sufficient." (Id.) It is undisputed that for the arbitration hearing, the parties agreed that in lieu of live testimony they would designate the deposition transcripts of some, but not all, witnesses. The parties submitted deposition designations, citing relevant excerpts from those transcripts. (See Ex. I, Amir Decl.) While the Arbitrator's March 5 Order directed the parties to confer and submit all exhibits and full copies of the deposition transcripts, the parties agree that they failed to submit the entirety of the deposition transcripts before the Arbitrator issued her decision on July 7, 2025. Respondent notes, however, that the Arbitrator had before her the transcripts the parties submitted with their summary judgment papers.

The instant Petition turns on whether the Arbitrator properly issued her decision on July 7, 2025, before the parties filed all of the deposition transcripts she ordered on March 5, 2025.

The court may vacate an arbitration award only on the grounds set forth in Code of Civil Procedure section 1286.2. As relevant here, section 1286.2 provides that the court shall vacate the award if it determines that "(4) [t]he arbitrators exceeded their powers and the award cannot be corrected without affecting the merits of the decision upon the controversy submitted" or "(5) [t]he rights of the party were substantially prejudiced ... by the refusal of the arbitrators to hear evidence material to the controversy or by other conduct of the arbitrators contrary to the provisions of this title." (Code Civ. Proc., § 1286.2, subds. (a)(4), (a)(5).)

The circumstances here present issues of first impression not squarely addressed by any case cited by the parties, even after two sets of supplemental briefs.

Refusal to Hear Material Evidence

Petitioner argues that the Arbitrator refused to hear material evidence because, despite her March 5, 2025 order directing the parties to provide all exhibits including full deposition transcripts, neither party submitted the third-party health plan deposition transcripts, and the Arbitrator issued the Final Award without them while citing the "testimony of the health plans" in support of a liability finding. (Amir Decl., ¶¶ 12-13, Exhs. H, O.)

Accepting these facts as true, they do not establish a "refusal of the arbitrator[] to hear evidence material to the controversy." (Code Civ. Proc., § 1286.2, subd. (a)(5).) Section 1286.2(a)(5) operates as "a safety valve in private arbitration that permits a court to intercede when an arbitrator has prevented a party from fairly presenting its case." (Burlage v. Superior Court (2009) 178 Cal.App.4th 524, 100 Cal.Rptr.3d 531.) The Arbitrator did not prevent the parties from presenting anything, but rather expressly ordered the parties to submit the transcripts. (Amir Decl., Ex. H.) Both parties failed to comply with that order. The Arbitrator excluded no witness, sustained no objection to the transcripts, and denied no request to submit them. A party's own failure to deliver evidence the arbitrator affirmatively requested is not arbitrator conduct at all, much less a refusal to hear evidence.

Royal Alliance Assocs., Inc. v. Liebhaber (2016) 2 Cal.App.5th 1092 is distinguishable. There, the panel affirmatively denied a party's request to cross-examine a witness whose unsworn statements the panel then expressly credited in its award. (Id. at pp. 1098-1101.) The arbitrators in Royal Alliance made a ruling excluding evidence. Here, the Arbitrator made no such ruling. Petitioner identifies no authority holding that an arbitrator refuses to hear evidence by deciding a matter on the record the parties actually submitted at the hearing, and in the summary judgment filings.

Nor was Petitioner deprived of the opportunity to present this evidence. The parties designated the deposition testimony, and both sides quoted and cited the testimony extensively in their closing briefs, which were before the Arbitrator. (Amir Decl., Exhs. I, J, L-N.) That the full transcripts were not lodged was a failure of counsel and not "conduct of the arbitrators contrary to the provisions of this title." (Code Civ. Proc., § 1286.2, subd. (a)(5).)

The Motion is denied on this ground.

Failure to Decide Issues Submitted

Petitioner next argues the award must be vacated under sections 1283.4 and 1286.2(a)(4) because the Arbitrator failed to decide all issues submitted, including the alleged second unilateral change in payment methodology, the implied covenant claim as a source of obligations independent of the contract's express terms, a documentary fraud theory, and damages.

"If the record actually shows that [an issue] had been submitted to the arbitrator, and that he had totally failed to consider it, the court could and should have vacated the award." (Banks v. Milwaukee Ins. Co. (1966) 247 Cal.App.2d 34, 38.) But section 1283.4 requires that the award determine "all the questions submitted"; it does not require the arbitrator to expressly address every evidentiary fact or argument advanced in support of each claim. In Banks, the arbitrator failed to consider an entire element of damages put in issue by the arbitration demand. (Id. at pp. 39-40.) Here, by contrast, the Final Award considers and resolves each cause of action submitted: breach of contract, breach of the implied covenant, fraud and conspiracy, the section 17200 claim, intentional and negligent interference, and the common counts. (Final Award, pp. 5-11.)

The Arbitrator expressly found that "Claimant has not proven that CFC breached the Agreement," a finding that necessarily disposed of all asserted theories of breach, including the second payment change. (Final Award, p. 8.) The Arbitrator likewise expressly ruled on the implied covenant claim, concluding it failed because the covenant "is premised on the breach of a specific contractual obligation" and no breach was found. (Final Award, p. 8.) The Arbitrator addressed the fraud claim,

including the contention that "CFC presented Nueva with false capitation data," and found Petitioner did not establish the data was inaccurate. (Final Award, pp. 8-9.) Whether those rulings were legally or factually correct is a matter beyond this Court's review. "[I]t is within the power of the arbitrator to make a mistake either legally or factually." (Heimlich v. Shivji (2019) 7 Cal.5th 350, 370.) Petitioner's contention that the implied covenant analysis misapplied the law, or that the Arbitrator should have separately discussed each alleged breach, is at most a claim of legal error and is not a ground for vacatur. (Moncharsh, supra, 3 Cal.4th at p. 11.)

Further, an Arbitrator exceeds their powers by conducting an unfair proceeding. (Hoso Foods v. Columbus Club (2010) 190 Cal.App.4th 881, 889.) This would include arbitration procedures that interfere with a party's right to a fair hearing. (Id. at p. 888.) An arbitrator can also select the appropriate remedy and only exceeds their authority if the Arbitration Agreement explicitly states that the arbitrator cannot grant that remedy. (Advanced Micro Devices, Inc. v. Intel Corp. (1994) 9 Cal.4th 362, 381-382.) Here, the Arbitrator did not conduct an unfair proceeding. Again, the Arbitrator addressed and issued a finding on all causes of action raised. The award is squarely within the scope of the powers the parties conferred. (Advanced Micro Devices, supra, 9 Cal.4th at pp. 381-382.)

Sanctions

Respondents' request for \$3,500 in sanctions under Code of Civil Procedure section 128.7 is denied. The request was embedded in the Opposition rather than presented by separately served and noticed motion, and Respondents did not comply with the 21-day safe harbor provision. (Code Civ. Proc., § 128.7, subd. (c)(1).) Strict compliance is mandatory. (Transcon Financial, Inc. v. Reid & Hellyer, APC (2022) 81 Cal.App.5th 547, 553-555.) In any event, the Petition, while unmeritorious, is grounded in statutory text and published authority and is not frivolous.

Supplemental Briefing

Following the June 16, 2026 hearing, the Court ordered supplemental briefing directed at what evidence was before the Arbitrator through the November 2023 summary adjudication record and at which party bore responsibility for lodging the ordered deposition transcripts. The Court also asked Respondent to address whether the Opposition was late, and the legal effect of a tardy opposition.

On August 14, 2026, the Court heard further argument, and ordered further supplemental briefing directed at whether the Court should remand to the arbitrator to correct her order or clarify what evidence her order relied upon.

The parties' supplemental papers raise several additional points, addressed below. None alters the analysis set forth above.

Summary Adjudication Record

At oral arguments on August 14, 2026, Petitioner identified the precise language Petitioner alleges establishes that the Arbitrator made findings based on evidence she did not have before her.

Specifically, the Arbitrator wrote the following:

"Throughout the course of this arbitration Claimant has asserted that CFC schemed to transfer Nueva's patients to other PCPs. The evidence does not support that assertion. Mr. Brandt testified that CFC had not control over which PCP a patient/member is assigned to; the testimony of the health plans confirmed this." (Award, at p. 6 (emphasis added).)

Petitioner argues that the November 2023 summary adjudication record could not have cured the gap. The Matthews deposition was not taken until August 16, 2024, nine months after that motion was filed, and was never before the Arbitrator

in any form. (Suppl. Brief, pp. 5-6; Eldessouky Suppl. Decl., ¶¶ 11-12, Ex. A.) Numerous designated passages from the Lageson and Brown depositions likewise appear nowhere in the summary adjudication exhibits. (Suppl. Brief, pp. 6-7; Eldessouky Suppl. Decl., ¶ 10, Ex. B.) However, this does not change the disposition for a number of reasons.

The analysis above does not depend on the assumption that the summary adjudication file cured the gap. Section 1286.2(a)(5) is directed at arbitrator conduct, and a showing that still more evidence was missing does not convert counsel's non-delivery into the Arbitrator's refusal to hear evidence. It confirms the opposite. An incomplete evidentiary record is not a ground for vacatur. (National Automobile & Casualty Ins. Co. v. Superior Court (1986) 184 Cal.App.3d 948, 951, 954 [section 1286.2 "does not permit vacation of an arbitration award because it is based on insufficient or incomplete evidence"].)

Moreover, Respondents' Second Supplemental Opposition to Petition to Vacate Arbitration Award, filed on August 20, 2026, identifies the specific health plan testimony the Arbitrator had at summary judgment and in the arbitration evidence designated by Respondent: Exhibits B, C, and I to the Petition to Vacate. (Respondents' Second Supplemental Response at 3:25-5:28.)

Responsibility for Submitting the Transcripts

The March 5, 2025 order was directed to the parties jointly. It required counsel to meet and confer and to provide "all of the exhibits (including full copies of deposition transcripts)" they intended to rely on, and imposed that obligation on no single side. (Amir Decl., Ex. H; Eldessouky Suppl. Decl., ¶ 5.) As to the health plan witnesses designated by both parties, both were obligated to act and neither did. Respondents designated first, on February 10, 2025, and represented that transcripts would be "provided separately." (Petition, Exh. I.) Petitioner designated on March 28, 2025. (Petition, Exh. J.) Both briefed the matter to conclusion without lodging the transcripts and without conferring on the subject, though they conferred on the briefing schedule. (Eldessouky Suppl. Decl., ¶¶ 6-7.)

As to the Matthews Deposition, the responsibility was Petitioner's alone. Respondents designated no portion of that deposition and would not have submitted it under any circumstance. (Steinberg Suppl. Decl., ¶ 7.) Petitioner alone designated Matthews and concedes it did not submit the ordered transcripts. (Eldessouky Suppl. Decl., ¶ 7.)

The allocation does not affect the outcome. Shared or unilateral, the failure was Counsel's. Section 1286.2 affords no relief from the omissions of a party's own attorneys, and a mutual oversight is still not a refusal by the Arbitrator.

Arbitrator's Reliance on Evidence Not Formally Admitted

For the first time in supplemental briefing, Petitioner advances an alternative ground for vacatur under section 1286.2(a)(4): that to the extent the Arbitrator drew on material contained in the arbitration file but never admitted at the evidentiary hearing, she decided the case on evidence outside the record the parties' agreement defined and thereby exceeded her powers. The argument rests on the arbitration agreement's provision that "[t]he California Code of Evidence shall apply to testimony and documents submitted to the arbitrator," and on *In re Marriage of Pasco* (2019) 42 Cal.App.5th 585, *Acqua Vista Homeowners Assn. v. MWI, Inc.* (2017) 7 Cal.App.5th 1129, and *Pacific Crown Distributors v. Brotherhood of Teamsters* (1986) 183 Cal.App.3d 1138. (Suppl. Brief, pp. 8-9.) Petitioner also rests this argument on section 1282.2(g), which provides that, "If a neutral arbitrator intends to base an award upon information not obtained at the hearing, he shall disclose the information to all parties to the arbitration and give the parties an opportunity to meet it."

In prior tentative rulings, the Court declined to reach this issue as it was raised for the first time in supplemental briefings. At oral arguments on August 24, 2026, the Court directly addressed this issue, and reiterates its findings here: the Court finds that the Arbitrator's award was not based on extra-hearing information. Rather, it was based on deposition designations submitted by the parties, which transcripts were filed with the parties' summary judgment papers.

While the Court acknowledges the summary adjudication record did not contain all of the testimony designated for the arbitration hearing, the responsibility for lodging the transcripts rested jointly on both parties as to the health plan witnesses and on Petitioner alone as to Matthews. The Court can not find that these circumstances supply the basis to vacate that section 1286.2 requires. The Arbitrator ordered the transcripts produced, and counsel did not produce them. That remains a failure of the parties, not conduct of the Arbitrator. In any event, the Petition fails for the reasons stated in the Discussion above - namely that the Arbitrator had evidence before her upon which she could base her Award. Indeed, she had explicitly noted in her March 5, 2025 Order that she would not require the parties to file all of the exhibits they cited in their briefs, stating: "[t]he briefs are not to include exhibits; reference to specific exhibits is sufficient."

The Court does not intend this ruling to pass on the sufficiency of the evidence before the Arbitrator. The Court cannot revisit an Arbitrator's findings. Rather, this finding addresses Petitioner's argument that the Arbitrator improperly ruled without any of the relevant deposition transcripts.

Respondents' Late Opposition

Petitioner argued that Respondents' tardy brief compels the Court to deem all allegations in the Petition as admitted.

The law makes clear that the court may and should consider a late-filed response, where, as here, Respondent mistakenly treated the petition as a motion and filed the Opposition on the date an opposition to a motion would be due. *Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836. Accordingly, the Court considered Respondents' response.

Conclusion

The Petition to Vacate the Arbitration Award is DENIED. The Request for Sanctions is DENIED. The Arbitration Award is confirmed, and Respondent is ordered to submit a Proposed Judgment.

Moving party to give notice.